Prepare revaluation account, partners' capital account and the balance sheet of the firm after retirement.

(Answer: Revaluation loss: ₹ 1,000; Capital account: Kannan: ₹ 1,04,500, Rahim: ₹ 82,700, Amount paid to John ₹41,800; Balance sheet total: ₹ 2,15,200)

18. Saran, Arun and Karan are partners in a firm sharing profits and losses in the ratio of 4:3:3. Their balance sheet as on 31.12.2016 was as follows:

Liabilities	₹	₹	Assets	₹	₹
Capital accounts:			Buildings		60,000
Saran	60,000		Machinery		40,000
Arun	50,000		Investment		20,000
Karan	40,000	1,50,000	Stock		12,000
General reserve		15,000	Debtors	25,000	
			Less: Provision		
Creditors		35,000	Provision for bad debts	1000	24,000
			Cash at bank		44,000
		2,00,000			2,00,000

Karan retires on 1.1.2017 subject to the following conditions:

(i) Goodwill of the firm is valued at ₹ 21,000

(ii) Machinery to be appreciated by 10%

(iii) Building to be valued at ₹ 80,000

(iv) Provision for bad debts to be raised to ₹ 2,000

(v) Stock to be depreciated by ₹ 2,000

(vi) Final amount due to Karan is not paid immediately

Prepare the necessary ledger accounts and show the balance sheet of the firm after retirement.

(Answer: Revaluation profit: ₹ 21,000; Capital A/c: Saran: ₹ 70,800; Arun: ₹ 58,100; Karan's loan account: ₹ 57,100; Balance sheet total: ₹ 2,21,000)

19. Rajesh, Sathish and Mathan are partners sharing profits and losses in the ratio of 3:2:1 respectively. Their balance sheet as on 31.3.2017 is given below.

Liabilities	₹	₹	Assets	₹	₹
Capital accounts:			Premises		4,00,000
Rajesh	4,00,000		Machinery		4,20,000
Sathish	3,00,000		Debtors		1,60,000
Mathan	2,50,000	9,50,000	Stock		3,00,000
General reserve		1,20,000	Cash at bank		20,000
Creditors		50,000			
Bills payable		1,80,000			
		13,00,000			13,00,000

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